

INDEPENDENT AUDITORS' REPORT
SJVN ARUN-3 POWER DEVELOPMENT COMPANY PRIVATE LIMITED

To **APT & CO LLP**, The auditors of SJVN Limited ('the Holding Company' or 'SJVN')

Report on Audit of the Group reporting Pack

We have audited the accompanying group reporting pack of SJVN Arun-3 Power Development company Private Limited ('SAPDC' or 'the Company') which comprise the balance sheet as at 31st March 2024, the statement of profit or loss and other comprehensive income, the statement of changes in equity and the statement of cash flows (collectively referred to as 'the Group reporting pack') for the year then ended, annexed thereto, and a summary of significant accounting policies and other explanatory information, prepared in accordance with the Nepal Financial Reporting Standards (NFRS) and the applicable group accounting policies followed by SJVN Limited ('the holding company of the group'). The Group reporting pack has been prepared solely to enable the holding company, to prepare its consolidated financial statements as at and for the year ended 31st March 2024.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid group reporting pack of the Company have been prepared, in all material respects, in accordance with the Nepal Financial Reporting Standards (NFRS) and group accounting policies followed by SJVN Limited and are suitable for inclusion in the consolidated financial statements of SJVN Limited.

Management's responsibility for the Group reporting pack

The Company's Board of Directors is responsible for the preparation of the Group reporting pack that give a true and fair view of the financial position, financial performance, financial cash flows of the Company, and a summary of significant account policies and other explanatory information, prepared in accordance with NFRS and group accounting policies followed by the holding company of the group. This responsibility also includes maintenance of adequate accounting records for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that are operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the group reporting pack that give a true and fair view and are free from material misstatement, whether due to fraud or error.

The Group reporting pack has been prepared by the management on the basis of instructions received in this regard from SJVN Limited solely for the use by SJVN Limited in preparation of its consolidated financial statements in accordance with the group accounting policies followed by SJVN Limited.

Auditor's Responsibilities for the Audit of the Financial Statements

Our responsibility is to express an opinion on the Group reporting pack and other information based on our audit. We conducted our audit in accordance with Group Audit Instructions issued by you and in accordance with the International Standards on Auditing (ISA). Those Standards require that we comply with the ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the Group reporting pack is free from material misstatements.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the group reporting pack. The procedures selected depend on the auditor's judgment, including the



Auditor's Responsibilities for the Audit of the Financial Statements

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An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the group reporting pack. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the group reporting pack, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial control relevant to the Company's preparation of the group reporting pack that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on whether the Company has in place an adequate internal financial controls system over financial reporting and the operating effectiveness of such controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by the Company's Directors, as well as evaluating the overall presentation of the group reporting pack.

We have communicated all matters of significance to you in the communications you requested in your Group referral instructions.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Other Matters

- a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid financial statements.
- b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid financial statements have been kept so far as it appears from our examination of those books and the report of the other auditor.
- c) The balance sheet, the statement of profit or loss (including other comprehensive income), the statement of changes in equity and the statement of cash flows dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the financial statements.
- d) In our opinion, the aforesaid financial statements comply with the NFRs and the group accounting policies followed by the holding company.

Limitation of Use

This report is intended solely for use by APT & CO LLP, India in connection with its audit of consolidated financial statements of SJVN Limited as at and for the year ended 31 March 2024 and should not be used for any other purpose.



Sanjeev Kumar Mishra
Partner



PKF TR Upadhyaya & Co.
Chartered Accountants

Date: 24 May 2024
UDIN: 240524CA00160yWmhE



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
BALANCE SHEET AS AT MARCH 31, 2024

Amount in INR Lakhs

Particulars	Note No.	As at March 31, 2024	As at March 31, 2023
ASSETS			
Non - current assets			
Property, plant and equipment	2.1	31,597	19,442
Capital work-in-progress	2.2	459,980	376,102
Intangible Assets	2.3	1	60
Other non-current assets	2.4	15,324	22,864
Total non- current assets		506,902	418,468
Current assets			
Financial assets			
Cash and cash equivalents	2.5	325	950
Bank balance other than cash and cash equivalents	2.6	2,520	2,383
Loans	2.7	93	102
Other financial assets	2.8	104	131
Current Tax Assets	2.9	37	-
Other current assets	2.10	19	19
Total current assets		3,098	3,585
TOTAL ASSETS		510,000	422,053
EQUITY AND LIABILITIES			
Equity			
Equity Share Capital	2.11	210,541	210,541
Other Equity	2.12	3,880	3,742
Total Equity		214,421	214,283
Liabilities			
Non- current liabilities			
Financial liabilities			
Borrowings	2.13	239,233	141,639
Lease liabilities	2.14	957	461
Total non-current liabilities		240,190	142,100
Current liabilities			
Financial liabilities			
Borrowings	2.15	2,500	2,500
Lease liabilities	2.16	105	21
Total outstanding dues of creditors	2.17	1	1
Other financial liabilities	2.18	52,323	62,414
Current Tax Liability	2.19	-	126
Other current liabilities	2.20	273	423
Provisions	2.21	187	185
Total current liabilities		55,389	65,670
TOTAL EQUITY AND LIABILITIES		510,000	422,053

The accompanying notes form an integral part of the financial statements.

For and on behalf of the Board of Directors

As per our report of even date

Sushil Sharma
Chairman

Arun Dhiman
Chief Executive Officer

Sanjeev Kumar Mishra
Partner
PKF T.R Upadhyaya & Co.
Chartered Accountants



Nabin Kumar Jha
Chief Financial Officer

Sujit Jha
Company Secretary

Place: Kathmandu
Date:

Standalone

SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED MARCH 31, 2024



Amount in INR Lakhs

Particulars	Note No.	For the Year Ended March 31, 2024	For the Year Ended March 31, 2023
Income			
Revenue from Operations		-	-
Other Income	2.22	592	888
Total		592	888
Less: Allocation of Corporate income to Projects		-	-
Total Income		592	888
Expenses			
Employee Benefits Expense	2.23	54	47
Finance Costs	2.24	347	-
Depreciation and Amortization Expense	2.25	-	-
Other Expenses	2.26	7	4
Total		408	51
Less: Allocation of Corporate Expenses to Projects		-	-
Total Expenses		408	51
Profit/ (Loss) before exceptional items and tax		184	837
Exceptional Items		-	-
Profit before net movement in regulatory deferral account balance and tax		184	837
Tax Expenses:			
- Current Tax		46	209
- Adjustments relating to earlier years		-	-
- Deferred Tax		-	-
Profit for the year		138	628
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss			
- Remeasurement of the net defined benefit liability/asset		-	-
- Income tax on above item		-	-
Total		-	-
Total Comprehensive Income for the period		138	628

The accompanying notes form an integral part of the financial statements.

For and on behalf of the Board of Directors

As per our report of even date

Sushil Sharma
Chairman

Arun Dhiman
Chief Executive Officer

Sanjeev Kumar Mishra
Partner
PKF T.R Upadhyaya & Co.
Chartered Accountants

Nabin Kumar Jha
Chief Financial Officer

Sujit Jha
Company Secretary

Place: Kathmandu
Date:



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
STATEMENT OF CASH FLOWS
For the Year Ended March 31, 2024

Particulars	Amount in INR Lakhs	
	For the Year Ended March 31, 2024	For the Year Ended March 31, 2023
Cash flow from operating activities		
Profit before net movement in regulatory deferral account balance and tax	184	837
Add: Net movement in regulatory deferral account balances (net of tax)	-	-
Add: Tax on net movement in regulatory deferral account balances	-	-
Profit before tax including movement in regulatory deferral account balances	184	837
Adjustment for:		
Interest on term deposits	(228)	(186)
Interest received from Contractors Advance	(364)	(702)
Dividend from Subsidiary / Associate / Joint Venture	-	-
Finance cost	347	-
Loss on disposal/ write off of fixed assets	-	-
Profit on sale of fixed assets	-	-
	(245)	(888)
Adjustment for assets and liabilities		
Loans, other financial assets and other assets	36	33
Trade payable	-	1
Other financial liabilities and other liabilities	(820)	1,877
Provisions	2	2
	(782)	1,913
Cash generated from operating activities	(843)	1,862
Income tax paid	(209)	(258)
Net cash generated by operating activities	(1,052)	1,604
Cash flow from investing activities:		
Net expenditure on Property, Plant & Equipment and CWIP including advances for capital works	(80,766)	(125,635)
Term deposits with bank (having maturity more than three months)	(137)	4,351
Interest on term deposits	228	323
Interest from Contractors advance	364	1,016
Net cash used in investing activities	(80,311)	(119,945)
Cash flow from financing activities:		
Repayment of borrowings	-	-
Proceed from borrowings	97,594	125,242
Payment of lease liabilities	580	482
Share application money pending allotment	-	(6,748)
Interest and finance charges	(17,436)	-
Issue of Shares	-	-
Dividend Paid	-	-
Cash used in financing activities	80,738	118,976
Net increase in cash and cash equivalents	(625)	635
Opening balance of cash & cash equivalents (refer note 1 and 2 below)	950	315
Closing balance of cash & cash equivalents (refer note 1 and 2 below)	325	950
Restricted cash balance		
Earmarked Balance (Unpaid Dividend)	-	-
Margin Money for BG/ Letter of Credit and Pledged deposits	1,689	2,383
Total	1,689	2,383

The accompanying notes form an integral part of the financial statements.

1. Cash and Cash equivalents consist of Cash in hand, cheques/drafts in hand, Bank Balances including Short Term Deposits having original maturity upto three months and bank overdraft.

2. Reconciliation of Cash and Cash Equivalents:

Cash and Cash equivalents as per note 2.5	325	950
Cash & Cash Equivalents as per statement of cash flows	325	950

For and on behalf of the Board of Directors

Sushil Sharma
Chairman

Nabin Kumar Jha
Nabin Kumar Jha
Chief Financial Officer

Place: Kathmandu
Date:

As per our report of even date

Adarsh Dhiman
Adarsh Dhiman
Chief Executive Officer

Sujit Jha
Sujit Jha
Company Secretary

Sanjeev Kumar Mishra
Sanjeev Kumar Mishra
Partner
PKF T.R Upadhyaya & Co.
Chartered Accountants





SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED MARCH 31, 2024

A. Equity Share Capital

For the Year Ended March 31, 2024

Particulars	Amount in INR Lakhs
Opening Balance as at April 1, 2023	210,541
Equity Shares issued during the year	-
Equity Shares bought back during the year	-
Closing Balance as at March 31, 2024	210,541

For the Year Ended March 31, 2023

Particulars	Amount in INR Lakhs
Opening Balance as at April 1, 2022	210,541
Equity Shares issued during the year	-
Equity Shares bought back during the year	-
Closing Balance as at March 31, 2023	210,541

B. Other Equity

For the Year Ended March 31, 2024

Amount in INR Lakhs

Particulars	Reserves and Surplus			Total Other Equity
	Capital Redemption Reserve	Securities Premium	Retained Earnings	
Opening Balance as at April 1, 2023	-	-	3,742	3,742
Profit for the Period	-	-	138	138
Other Comprehensive Income	-	-	-	-
Total Comprehensive Income	-	-	138	138
Dividends	-	-	-	-
Closing Balance as at March 31, 2024	-	-	3,880	3,880

For the Year Ended March 31, 2023

Amount in INR Lakhs

Particulars	Reserves and Surplus			Total Other Equity
	Capital Redemption Reserve	Securities Premium	Retained Earnings	
Opening Balance as at April 1, 2022	-	-	3,114	3,114
Profit for the Period	-	-	628	628
Other Comprehensive Income	-	-	-	-
Total Comprehensive Income	-	-	628	628
Dividends	-	-	-	-
Closing Balance as at March 31, 2023	-	-	3,742	3,742

For and on behalf of the Board of Directors

As per our report of even date

Sushil Sharma
Chairman

Arun Dhiman
Chief Executive Officer

Sanjeev Kumar Mishra
Partner
PKF T.R Upadhyaya & Co.
Chartered Accountants

Nabin Kumar Jha
Chief Financial Officer

Sujit Jha
Company Secretary

Place: Kathmandu
Date:

SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

1. Company's Information and Significant Accounting Policies

A. General Information

SJVN ARUN-3 Power Development Company Pvt. Ltd. ("SAPDC" or "Company") was incorporated as private limited company under the Company Act 2063 on 25th April 2013 which is duly floated by single shareholder company SJVN Limited (a joint venture of Government of India and Government of Himachal Pradesh) with an aim to plan, promote, organize and execute Arun-3 Hydroelectric Project on BOOT basis, to be operated by SJVN for 25 years after construction and thereafter transfer back to Government of Nepal. The registered address of the Company is SAPDC Office Complex, Tumlingtar, Sankhuwasabha Nepal.

The Company is developing the Arun-3 Hydroelectric Project with capacity of 900 MW ("the Project") identified in Arun Khola by utilizing the water of Arun River located in Num, Diding, Pathivara and Yaphu Village Development Committee (VDC) of Sankhuwasabha district to generate, transmit and sell electricity. The project is a run-of the river scheme with 4 hours peaking and will generate 3924 MU of energy.

The Project was techno-economically appraised by CEA, Gol on 09th June 2014. On 25th November 2014, the Company entered into Project Development Agreement (PDA) with GON represented by the Investment Board of the Government of Nepal with defined terms and condition to execute the project activities for the development of 900 MW ARUN-3 Hydro Power Project. As per PDA, it is scheduled to be completed in 5 years reckoned from financial closure. Financial Closure of Arun-3 was achieved on Feb 06, 2020.

Government of India has accorded investment approval for generation component of the project at an estimated cost of INR 5723.72 Crores at May 2015 price level. Investment Board of Nepal (IBN) vide its letter no.640/074-075(640/2017-18) dated May 04, 2018, has issued the Generation Licence to SAPDC. Further, Department of Electricity Development (GoN) vide its letter no. 075/76-1066 dated February 12th 2019 has issued the 400 Kv transmission license to SAPDC.

The Company has entered into lease agreement with Government of Nepal, Ministry of Forest and Soil Conservation, Department of Forest, Department of National Parks and Wildlife Conservation on 23rd August 2017. The Company has complied with certain requirements of the PDA and believes that it will comply with the remaining requirements as well to finalize the Power Purchase Agreement (PPA) and achieve other milestones within the stipulated time frame. As per PDA, GoN granted to the Company the right to generate, sell and supply electrical energy and make capacity available from the Power Station.

Company has issued Letter of award for all major works details as under: -

Civil Package-1 i.e., Dam area civil works plus 3.1 km HRT was awarded to M/s Jaiprakash Associates Limited on 22nd September, 2017. Work is under progress at various fronts. River diverted through Diversion tunnel in Jan-21. HRT excavation under this package is in progress. Benching and Lining in HRT is under process and DAM Concreting has been started.

Civil Package - 2 i.e., Power House civil works plus 8.6 km HRT was awarded on 19th March, 2018 to M/s Patel Engineering Limited and contract agreement signed on 29.03.2018. Work at all fronts is under progress.

Hydro Mechanical Package-3 was awarded on 11th April, 2018 to M/s OM metals Infra projects Limited. Contractor has supplied few component of the requirement of project and few other are in the process of manufacturing at their workshop which will be further transported to Site for erection.



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

Construction power: The work for 46.5 km long construction power line from Tirtire sub-station to project site has nearly completed and charging of the same is under process.

Power Evacuation System: Power Evacuation system consists of 253 km long 400 kV DC transmission line from Diding (project area) in Nepal through Dhalkebar (Nepal Border) to Sitamarhi, India. Out of this, Nepal portion of 217 km from Arun-3 powerhouse (Diding) to Bathnaha (Nepal Border) is being constructed by SAPDC along with 400Kv GIS Substation at Dalkebar.

Government of India accorded investment approval amounting to INR 1236.13 Crores at Price level of June 2017 for the Nepal portion of transmission line to be constructed by SAPDC on 28th February, 2019. For diversion of forest land, case for all 7 districts is under process of forest approval. Resettlement Action Plan of all districts has been submitted to Investment Board of Nepal and same is under approval. Land verification completed in all districts. Land acquisition is under progress.

The Company has also entered an agreement with M/s PowerGrid Corporation of India Limited for Project Management Consultancy in respect of its 400KV Transmission line. The work for supply and erection of Towers (TW-1 and TW-2) and Sub-station have been awarded to M/s KEC International Limited, India and M/s GE T & D respectively. The Conductor supply package for TW-1 has been awarded to M/s Apar Industries Limited and conductor for TW-II package is under process.

The total cost of Project, is INR 5723.72 Crore for generation part & the cost of transmission line is INR 1236.13 Cr. Hence the total cost of project is INR 6959.85 Cr. The project is to be financed at a Debt Equity Ratio of 70:30. SAPDC has arranged a debt of INR 6333.48 Cr. (including stand by line of credit amounting of INR 1420.86 Cr.) from Nepalese and Indian Lenders led by State Bank of India. Financial Closure of the project has been achieved on 06th February, 2020 and drawl of instalments of term loan has been started in financial year 2078-79 after infusion of 100% upfront equity of NPR 3368.66 Cr. The outstanding balance of term Loan as on 31.03.2024 is NPR 3861.64 Cr

B. Significant Accounting Policies

1.1 Statement of Compliance

The financial statements have been prepared on a going concern basis in accordance with the Nepal Financial Reporting Standards (NFRS) prepared by the Accounting Standards Board, Nepal (ASB) and pronounced by The Institute of Chartered Accountants of Nepal (ICAN) and the applicable group accounting policies followed by SJVN Limited.

1.2 Basis of preparation

The financial statements have been prepared on the historical cost basis except financial instruments and net defined benefit asset/liability in the accounting policies below. The term NFRS, which includes all the standards, and the related interpretations is consistently used.

This section describes the critical accounting judgment that the Company has identified as having potentially material impact on the financial statements and sets out the significant accounting policies that relate to the financial statements as a whole. Accounting policies along with explanatory notes, wherever such explanation is required, is described in specific relevant sections. The Company's accounting policies require the management to exercise judgement in making accounting estimates.



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

1.3 Accounting Pronouncements

The Company for its preparation of financial statement has adopted accounting policies to comply with the pronouncements made by The Institute of Chartered Accountants of Nepal (ICAN) effective as on 13 September 2013.

1.4 Critical Accounting Estimates

In the application of the Company's accounting policies, which are described in relevant section below, the management is required to make judgments, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumption are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

The estimated useful life of property, plant & equipment and intangible assets is based on a number of factors including the effects of obsolescence, demand, competition and other economic factors (such as the stability of the industry and known technological advances) and the level of maintenance expenditure required to obtain the expected future cash flow from the asset.

Employee benefits obligations are measured on the basis of actuarial assumptions which include mortality and withdrawal rates as well as assumptions concerning future developments in discount rates, the rate of salary increases and the inflation rate. The Company considers that the assumptions used to measure its obligations are appropriate and documented. However, any changes in these assumptions may have an impact on the resulting calculations.

The assessments undertaken in recognizing provisions and contingencies have been made in accordance with **NAS 37**, 'Provisions, Contingent Liabilities and Contingent Assets'. The evaluation of the likelihood of the contingent events has been made on the basis of best judgment by management regarding probable outflow of economic resources. Such estimation can change on occurrence of unforeseeable developments.

1.5 Presentation

The financial statements are prepared and presented in Nepalese Rupees (NPR) which is the Company's functional and reporting currency and converted into Indian rupee with the multiplying factor of 1:0.625 for the purpose of consolidation of such books of accounts with the annual accounts of holding company.

The figures for previous years are rearranged and reclassified wherever necessary for the purpose of facilitating comparison. Appropriate disclosures are made wherever necessary.



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

The Company presents assets and liabilities in statement of financial position based on current/non-current classification. The Company classifies an asset as current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle,
- Held primarily for the purpose of trading,
- Expected to be realized within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period..

All other assets are classified as non-current.

The Company classifies a liability as current when it is:

- Expected to be settled in normal operating cycle,
- Held primarily for the purpose of trading,
- Due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

All other liabilities are non-current. The operating cycle has been defined as twelve-month period.

The statement of cash flows has been prepared using indirect method. Cash flows from operating activities includes, in addition to the adjustments from profit for non-cash and non-operating activities, movements in working capital, interest and taxes.

Each material class of similar items is presented separately in the financial statements. Items of a dissimilar nature or function are presented separately, unless they are immaterial.

1.6 Property, plant and equipment (PPE)

Property, plant and equipment (PPE) are tangible items that are held for use in the production or supply of electricity and ancillary to it, or for administrative purpose; and are expected to be used for more than one period. PPE are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

The cost of an item of PPE is recognized as an asset when it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably. An item of PPE that qualifies for recognition as an asset is measured at its cost. Subsequent expenditure is capitalized only if when it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably.

Depreciation is recognized so as to write off the cost of assets less their estimated residual values over their estimated useful lives using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

As item of PPE is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use or disposal of the asset. Any gain or loss arising on the disposal or retirement of an item of PPE is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognized in profit or loss.

Depreciation



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

Freehold land is not depreciated. Depreciation is provided on all other items of PPE so as to write off their carrying value over the expected useful economic lives.

Depreciation is charged on following items of PPE on straight line method based on the estimated useful life of such PPE:

Class of PPE	Estimated Useful Life (In Years)	Depreciation Rate	Estimated Residual value
Buildings	30	3.34%	10% of cost except computers whose estimated residual value are nil.
Plant and Machinery	18	5.28%	
Furniture, fixtures and equipment	5-15	6.33% to 20%	
Electrical works			
Electrical equipment			
Office equipment			
Data processing equipment	2 years in case of mobile phone	50%	
	3 years in case of Computer & Hardware etc.	33.33%	
Intangible Assets (Software)	3	33.33%	Estimated residual value are nil.

Depreciation is provided on prorata basis from the month in which the assets become available for use. Depreciation on assets declared unserviceable/obsolete is provided till the end of the month in which such declaration is made. Assets costing NPR 8,000 or less are depreciated fully in the year of acquisition. Upon review of useful life, the depreciation is adjusted prospectively, wherever required.

Depreciation on additions to /deductions from Property, Plant & Equipment during the year is charged on pro-rata basis from / up to the month on which the asset is available for use / disposed.

1.7 Intangible Assets and intangible assets under development

- a) Intangible assets are identifiable non-monetary asset without physical substance. Intangible assets are recognized if:
 - i. It is probable that the expected future economic benefit that are attributable to the asset will flow to the entity; and
 - ii. the cost of the asset can be measured reliably
- b) Intangible assets acquired separately are measured on initial recognition at cost. After initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses.
- c) Subsequent expenditure on already capitalized Intangible assets is capitalized when it increases the future economic benefits embodied in an existing asset and is amortized prospectively.
- d) Software (not being an integral part of the related hardware) acquired for internal use, is stated at cost of acquisition less accumulated amortization and impairment losses, if any.



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

- e) An item of Intangible asset is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the Statement of Profit and Loss when the asset is derecognized.
- f) Expenditure on development activities is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the company intends to & has sufficient resources to complete development and to use or sell the asset.
- g) Expenditure incurred which are eligible for capitalization under intangible assets are carried as intangible assets under development till they are ready for their intended use.

1.8 Capital Work in Progress

Capital Work in Progress (CWIP) are assets which are not ready for their intended use and are carried at cost; comprising direct cost, related incidental expenses and attributable interest.

Expenditure incurred on assets under construction (a project) is carried at cost under CWIP. Such cost comprises of purchase price of asset including other costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the intended manner.

CWIP includes construction of access road, bridge, staff quarters for project staff, consideration paid to Government of Nepal for takeover of project and expenses directly attributable to the development of the project.

Cost directly attributable to CWIP include costs of employee benefits, depreciation on PPE, consultancy charges relating to project, rental expenses and other cost if attributable to construction and development of project. Based on judgement and evaluation, management has considered all expenses incurred during the period as directly attributable cost incurred for development of the project and capitalized under CWIP except the followings which has been charged to statement of profit or loss.

- A. 100% remuneration to Company Secretary and 10% remuneration in case of CEO and CFO
- B. Audit fee and Audit expenses.
- C. Donation, advisory fee and loss due to fire related to project.

Expenditure against deposit works is accounted for on the basis of statement of account received from the concerned agency and acceptance of the same by the company. However, provision is made whenever considered necessary.

Expenditure against "Deposit Works" is accounted for on the basis of statement of account received from the concerned agency and acceptance by the company. However, provision is made wherever considered necessary.

Claims for price variation/ exchange rate variation in case of contracts are accounted for on acceptance.



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

1.9 Lease

The Company mainly has lease arrangements for land and building for Dam sites and the offices.

Lease is a contract that conveys the right to control the use of identified asset for a period of time in exchange for consideration.

To assess whether a contract conveys the right to control the use of an identified asset, the company assesses whether: (i) the contract involves use of an identified assets, (ii) the customer has substantially all the economic benefits from the use of the asset through the period of the lease and (iii) the customer has the right to direct the use of the asset.

i) As a lessee

At the date of commencement of lease, the company recognizes a right-of-use asset (ROU) and a corresponding lease liability for all lease arrangements in which it is a lessee, except for lease with a term of twelve months or less (i.e. short term leases) and leases for which the underlying asset is of low value. For these short-term and leases for which underlying asset is of low value, the company recognizes the lease payments on the straight-line basis over the term of the lease.

Certain lease arrangements include the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liability includes these options when it is reasonably certain that they will be exercised.

The right-to-use assets are initially recognized at cost, which comprises the amount of initial measurement of the lease liability adjusted for any lease payments made at or before the inception date of lease along with the initial direct costs, restoration obligations and lease incentives received.

Subsequently, the right-to-use assets is measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of lease liability. The Company applies NAS 36 to determine whether a ROU asset is impaired and accounts for any identified impairment loss as described in accounting policy 1.9 on "Impairment of non-financial assets".

The lease liability is initially measured at present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate is used. Generally, the Company uses its incremental borrowing rate as the discount rate.

The interest cost on lease liability is expensed in the Statement of Profit and Loss, unless eligible for capitalization as per accounting policy 1.14 on "Borrowing Cost".

Lease liability and ROU assets have been separately presented in the financial statements and lease payments have been classified as financing cash flows.

ii) As a Lessor

Leases for which the Company is a lessor is classified as a finance or operating lease. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

For operating leases, rental income is recognised on a straight line basis over the term of the relevant lease.



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Notes forming part of the Accounts as on March 31, 2024

1.10 Impairment of non-financial assets

At the end of each reporting period, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash generating units, or otherwise they are allocated to the smallest group of cash generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

If the recoverable amount of an asset (or cash generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the statement of profit or loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or cash generating unit) is increased to the revised estimate of its recoverable amount, so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or cash generating unit) in prior years. Reversal of an impairment loss is recognised immediately in the statement of profit or loss.

1.11 Financial Instrument

A. Financial Assets

Financial assets refer to assets that arise from contractual agreements on future cash flows or from owning equity instruments of another entity. It includes loans and advances, accounts receivable, and marketable securities (bonds, notes, shares).

According to the NFRS, a financial asset can be:

- Equity instruments of another entity,
- Contractual right to receive cash or another financial asset from another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially favorable to the entity,
- A contract that will or may be settled in the entity's own equity instruments and is either a non-derivative for which the entity is or may be obliged to receive a variable number of the entity's own equity instruments, or a derivative that will or may be settled other than by exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments.

Initial Recognition and Measurement

All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at fair value through income statement, transaction costs that are attributable to the



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acquisition of the financial asset. Financial assets are classified, at initial recognition, as financial assets measured at fair value or as financial assets measured at amortized cost using effective interest method.

The Company currently holds only financial assets subsequently measured at amortized cost mainly comprises of advances and deposit.

Advances and deposits

Advances are initially measured at their carrying value which is approximate to their fair value and subsequently measured at amortized cost. These advances are both interest and non-interest bearing and are expected to be settled in the normal course of operations (refer note 2.4).

B. Financial Liabilities

A Contractual Obligation:

- a) to deliver cash or another financial asset to another entity; or
- b) to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the entity; or

A contract that will or may be settled in the entity's own equity instruments and is:

- a) a non-derivative for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments or
- b) a derivative that will or may be settled other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments. For this purpose, the entity's own equity instruments do not include: instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments; puttable instruments classified as equity or certain liabilities arising on liquidation classified by NAS 32 as equity instruments.

Initial Recognition and Measurement

All financial liabilities are initially recognized at fair value plus or minus, in the case of financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial liability.

Financial liability of the Company comprises of advances from related parties, Security/retention money payable, consultancy fee payable, audit fee payable and salary and other payables.

Advance and other payables

Advance and other payables are recognized at carrying amount which are approximate to their fair value.



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C. Subsequent measurement of financial asset and liabilities

Currently, financial asset and financial liabilities consist of only loans and receivables, cash and cash equivalents and other payables which are subsequently measured at amortized cost using effective interest method, less any impairment.

D. Effective interest method

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial instrument, or, where appropriate, a shorter period, to the net carrying amount of the financial instrument

E. Impairment of financial assets

Financial assets, being loans and receivables, are assessed for indicators of impairment at the end of each reporting period. Financial assets are considered to be impaired when there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows of the investment have been affected.

F. De-recognition of financial assets and financial liabilities

The Company de-recognises a financial asset only when the contractual right to the cash flows from the assets expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognises its retained interest in the asset and an associated liability for amounts it may have to pay.

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or they expire. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in the statement of profit or loss

1.12 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and demand deposits with bank, together with other short-term, highly liquid investments maturing within 90 days from the date of acquisition that are readily convertible into known amounts of cash, and which are subject to an insignificant risk of changes in value. Further, margin money kept as fixed deposit for opening of LC/Bank Guarantee has been considered as restricted balance.

1.13 Share capital and Retained Earnings

The Company's equity shares are classified as equity instruments. Share capital represents the nominal value (NPR 100 equivalent to INR 62.5) of ordinary and retained earnings includes all current and prior period profit/ (loss).

1.14 Borrowing Cost

Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes interest expense on lease liabilities recognized in accordance with NFRS 16 'Leases' and exchange differences to the extent regarded as an adjustment to the borrowing costs. Borrowing costs directly attributable to the



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acquisition, construction/erection or production of a qualifying asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. Capitalisation of borrowing costs ceases when substantially all the activities necessary to prepare the qualifying assets for their intended uses are complete. All other borrowing costs are expensed in the period in which they occur.

Income earned on temporary investment made out of the borrowings pending utilization for expenditure on the qualifying assets is deducted from the borrowing costs eligible for capitalization.

1.15 Provisions, Contingent Liabilities and Contingent Assets

- a) A provision is recognized when:
- i. the Company has present legal or constructive obligation as result of past event;
 - ii. it is probable that an outflow of economic benefits will be required to settle the obligation; and
 - iii. a reliable estimate can be made of the amount of the obligation.
- b) If the effect of the time value of money is material, provision are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as finance cost.
- c) The amount recognized as provision is the best estimate of consideration required to settle the present obligation at reporting date, taking into account the risks and uncertainties surrounding the obligation.
- d) When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.
- e) Contingent liabilities are possible obligations that arise from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events not wholly within the control of the Company. Where it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a contingent liability, unless the probability of outflow of economic benefits is remote. Contingent liabilities are disclosed on the basis of judgment of the management. These are reviewed at each balance sheet date and are adjusted to reflect the current management estimate.
- f) Liability for claims against the Company is recognized on acceptance by the Company/ receipt of award from the Arbitrator and the balance claim, if disputed/ contested by the contractor is shown as contingent liability. The claims prior to arbitration award stage are disclosed as contingent liability.

Contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the company. Contingent assets are disclosed in the financial statements when inflow of economic benefits is probable on the basis of judgement of management. These are reviewed at each balance sheet date and are adjusted to reflect the current management estimate.



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Notes forming part of the Accounts as on March 31, 2024

1.16 Employee Benefits

Employee benefits consist of short-term benefits, post-retirement benefits and terminal benefits such as salaries and allowances, provident fund, pension, gratuity, post-retirement medical facilities, leave benefits and other terminal benefits.

All cost relating to employee benefits are considered as directly attributable cost of the project and capitalized under CWIP except 100% remuneration of Company Secretary and 10% remuneration in case of CEO and CFO (refer note 2.2.1 & 2.23).

a. Short-term employee benefits:

Short-term employee benefits include benefits which are provided on periodic basis during year for the service rendered by employees such as salaries and allowances. A liability is recognized for the amount expected to be paid if the Company has a present or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

b. Post-retirement benefits:

Defined Contribution Plan

- i) A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into separate trust and will have an obligation for contributions into separate trust and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognized as an employee benefit expense in the periods during which services are rendered by employees.
- ii) The Company also contributes to National Pension Scheme for providing pension benefit to its employees. Its obligation is to contribute the extent of amount not exceeding 30% basic pay and dearness allowance less employer contributions towards provident fund, gratuity, and post-retirement medical facility. The liability for the same is recognized on accrual basis. M/s SBI private limited has been appointed as Pension fund manager.

Defined Benefit Plan

- i) A defined benefit plan is a post-employment plan other than a defined contribution plan.
- ii) The Company pays fixed contribution to provident fund at predetermined rates to a separate trust, which invests the fund in permitted securities. The obligations of the Company are limited to such fixed contribution and to ensure a minimum rate of return to the members as specified by Government of India.
- iii) The gratuity scheme is funded by the company and is managed by a separate trust. Company's liability is determined by the qualified actuary using the projected unit credit method at the year ending 31 March and any shortfall in the fund size maintained by the trust is additionally provided for by the company.
- iv) The company has a retired employee health scheme under which retired employees, spouse and eligible parents of retired employees are provided medical facilities in the company hospitals/empanelled hospitals. They can also avail treatment as out-patient subject to a ceiling fixed by the Company.
- v) The Company also has other benefit plans i.e., leave encashment, allowance on retirement/ death and moments on superannuation.



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- vi) The Company's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. The liability is ascertained at the year ending 31 March by the qualified actuary using the projected unit credit method.

c. Terminal Benefits

Expense incurred on terminal benefits in the form of ex-gratia payments and notice pay on voluntary retirement schemes, if any, are charged to the profit or loss in the year of incurrence of such expense.

The above employee benefits (post-retirement benefits and terminal benefits) are applicable to employees deputed in the Company on secondment basis from holding company.

The employee benefits in respect of employee recruited by SAPDC are provided as per terms of employment and applicable laws.

1.17 Taxation

Income Tax expenses represent the sum of the current tax and deferred tax.

a. Current Tax

Current tax, which comprises expected tax payable, is based on taxable profit or loss for the year based on Nepalese tax laws and including adjustment to the tax payable or receivable in respect of previous years, if any. The Company's liability for tax is computed on the basis of rates as prescribed by Income Tax Act and Finance Act issued thereto from time to time.

Current tax assets and liabilities are offset if certain criteria are met.

Tax Holiday

Under Section 11 (3 gha) (ka) of the Income Tax Act, 2002 (as amended by the Finance Act 2021), 100% of the income from the hydropower project for the first 15 years from the date of commercial operation is exempted and additionally 50% tax rebate will be provided on income for subsequent 6 years if financial closure has been achieved before Chaitra end, 2082. The temporary differences that reverse during a tax holiday period are not recognized.

b. Deferred tax

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred Tax Liabilities (DTL) are generally recognized for all taxable temporary differences. Deferred Tax Assets (DTA) are generally recognized for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilized.

The carrying amount of DTA is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

DTL and DTA are measured at the tax rates that are expected to apply in the period in which the liability is settled or the assets realized, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of DTL and DTA reflects the tax consequences that would follow from the manner in which the



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Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

DTA and DTL are offset if certain criteria are met.

Deferred tax asset on taxable loss is not recognized as it is highly unlikely that Company will be able to utilize the carried forward losses as they can only be carried forward for 12 years and will therefore expire before it is liable to pay income taxes, given the income tax holiday period of 15 years from the commercial operations date on 100% and thereafter on 50% of the income for further 6 years.

1.18 Statement of Cash Flows

Cash flows are reported using the indirect method, whereby net profit before tax is adjusted for the effects of transactions of a noncash nature and any deferrals of accruals of past of future cash receipts of payments. The cash flow from regular revenue generating, investing and financing activities of the company are segregated. The cash flow statement is separately attached with the financial statements of the Company.

Cash and cash equivalents comprise of short-term deposit with bank for the cash flow statement purpose (refer note 2.5).

1.19 Capital Management

The Company manages its capital to ensure that Company will be able to continue as going concern while maximizing the return to stakeholders. The capital structure of the Company consists of its equity (comprising issued capital and accumulated losses). The Company is not subject to any externally imposed capital requirements.

The Company's Management reviews its capital structure on a regular basis. As part of this review, Management considers the cost of capital and the risk associated with capital. In case of Hydro Projects, 30:70 is considered as appropriate capital mix of Equity and Debts.

1.20 Material Prior Period Errors

Material prior period errors are corrected retrospectively by restating the comparative amounts for the prior periods presented in which error occurred. If the error occurred before the earliest period presented, opening balances of assets, liabilities and equity for the earliest period presented, are restated.

As the commercial operations are yet to start, it has been earning income only from the advances given (out of equity) to contractors as per contract conditions and earning of bank interest on surplus equity funds/FD (equity) pledged as margin. However, Interest earned from Contractor and Bank on borrowed capital is adjusted from the interest expenses.

1.21 Financial risk management objectives

The Company's operations expose it to various risks. These risks include market risk (including currency risk, interest rate risk and other price risk), credit and liquidity risk.

Risk Management Frameworks

The management of the Company has overall responsibility for the establishment and oversight of the Company's risk management framework. The risk management framework is intended to ensure that risks are managed with due diligence and care.



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The Company's risk management policies are established to identify and analyse the risks it faces, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and its activities. The Company, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

a. Market risk

Since the company has started drawing Loan from the Banks therefore the Company currently is exposed primarily to the financial risks of changes in interest rates.

b. Foreign currency risk management

The Company's functional currency is NPR. The Company has certain transaction denominated in foreign currencies. As of the reporting date, Management has analysed the impact of the exposure to foreign currency balances and the impact is NIL.

c. Credit risk management

Credit risk refers to the risk that counterparty will default on its contractual obligation resulting in financial loss to the Company. At the reporting date, the Company is not exposed to credit risk.

Liquidity risk management

Ultimate responsibility for liquidity risk management rests with the management of the Company who have established an appropriate liquidity risk management framework for the management of the Company's short term, medium term and long term funding and liquidity management requirements.

1.22 Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured and when recognition criteria related to sale i.e. when the significant risks and rewards of ownership of the goods have transferred to the buyer, with the Company retaining neither continuing managerial involvement to the degree usually associated with ownership, nor effective control over the goods sold.

Revenue is measured at fair value of consideration received or receivable.

Revenue from the sale of energy shall be recognized in the statement of profit or loss on accrual basis in accordance with the provisions of the power purchase agreement after commercial operation, which is yet to be started.

1.23 Expenses

Expenses incurred which are not directly attributable to the development of the project are recognized in Statement of Profit or loss on accrual basis. Such expenses include audit and advisory fee and 100% remuneration of Company Secretary and 10% remuneration in case of CEO and CFO.



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.1 Property, plant and equipment

As at March 31, 2024

Sl.No.	Particulars	Gross Block				Depreciation		Net Block	
		As at April 1, 2023	Additions during the year	Deductions/ Adjustments	As at March 31, 2024	As at April 1, 2023	For the year	As at March 31, 2024	As at March 31, 2024
1	Land								
	Freehold (including development expenses)	12,007		-	12,062	-	-	-	12,062
	Right of use	468		-	468		60	107	361
2	Buildings								
	Freehold	5,440		534	5,974	453	214	667	5,307
	Right of use	-		618	618	-	34	34	584
3	Roads and Bridges	1,562		-	12,909	310	333	643	12,266
4	Plant and Machinery	100		20	120	12	6	18	102
5	Furniture, Fixture and Equipments	524		214	738	140	52	192	546
6	Electrical Works	129		1	130	30	7	37	93
7	Electrical Equipments	167		79	245	42	18	59	186
8	Office Equipments	70		-	70	22	5	27	43
9	Data processing Equipments	93		34	116	62	18	69	47
	Total	20,560	12,902	12	33,450	1,118	747	1,853	31,597

As at March 31, 2023

Sl.No.	Particulars	Gross Block				Depreciation		Net Block	
		As at April 1, 2022	Additions during the year	Deductions/ Adjustments	As at March 31, 2023	As at April 1, 2022	For the year	As at March 31, 2023	As at March 31, 2023
1	Land								
	Freehold (including development expenses)	9,086		-	12,007	-	-	-	12,007
	Right of use			-	468		47	47	421
2	Buildings								
	Freehold	4,201		1,239	5,440	225	228	453	4,987
	Right of use	450		1,112	1,562	145	165	310	1,252
3	Roads and Bridges	95		5	100	6	6	12	88
4	Plant and Machinery	490		37	524	107	36	140	384
5	Furniture, Fixture and Equipments	119		10	129	22	8	30	99
6	Electrical Works	127		44	167	27	15	42	125
7	Electrical Equipments	69		1	70	17	5	22	48
8	Office Equipments	75		29	93	58	14	62	31
9	Data processing Equipments			11					
	Total	14,712	5,866	18	20,560	607	524	1,118	19,442



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.2 Capital work-in-progress

As at March 31, 2024		Amount in INR Lakhs					
Sl.No.	Particulars	As at April 1, 2023	Additions during the year	Transfers/ Adjustments	Total WIP as at March 31, 2024	Capitalised during the year	As at March 31, 2024
1	Building	489	108	-	597	534	63
2	Civil Works	201,971	51,410	-	253,381	-	253,381
3	Roads, Bridges & Culverts	21,792	-	-	21,792	11,347	10,445
4	Plant and Machinery	-	-	-	-	-	-
5	Electrical Works	1,903	473	-	2,376	-	2,376
6	Electro Mechanical Works	11,992	9,158	-	21,150	-	21,150
7	Preliminary	5,176	-	-	5,176	-	5,176
8	Expenditure Attributable to Construction (Note 2.2.1)	57,134	29,854	-	86,988	-	86,988
9	Sub-station	13,469	(387)	-	13,082	-	13,082
10	Transmission Lines	62,176	5,143	-	67,319	-	67,319
Total		376,102	95,759	-	471,861	11,881	459,980

As at March 31, 2023

As at March 31, 2023		Amount in INR Lakhs					
Sl.No.	Particulars	As at April 1, 2022	Additions during the year	Transfers/ Adjustments	Total WIP as at March 31, 2023	Capitalised during the year	As at March 31, 2023
1	Building	269	1,415	-	1,684	1,195	489
2	Civil Works	119,516	81,111	-	201,971	-	201,971
3	Roads, Bridges & Culverts	24,240	8	-	22,904	1,112	21,792
4	Plant and Machinery	-	-	-	-	-	-
5	Electrical Works	1,645	258	-	1,903	-	1,903
6	Electro Mechanical Works	4,605	7,387	-	11,992	-	11,992
7	Preliminary	4,865	311	-	5,176	-	5,176
8	Expenditure Attributable to Construction (Note 2.2.1)	38,170	18,964	-	57,134	-	57,134
9	Sub-station	5,934	7,535	-	13,469	-	13,469
10	Transmission Lines	33,499	28,677	-	62,176	-	62,176
	Total	234,344	144,065	-	378,409	2,307	376,102

2.2 (a) Capital-work-in Progress (CWIP) aging schedule

As at March 31, 2024		Amount in INR Lakhs			
CWIP		Amount in CWIP for a period of			Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years
	Projects in progress	95,759	142,650	98,269	123,302
	Total	95,759	142,650	98,269	123,302
					459,980

As at March 31, 2023		Amount in INR Lakhs			
CWIP		Amount in CWIP for a period of			Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years
	Projects in progress	144,065	98,290	53,185	80,562
	Total	144,065	98,290	53,185	80,562
					376,102



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.2.1 Expenditure Attributable to Construction

	Amount in INR Lakhs	
	For the Year Ended March 31, 2024	For the Year Ended March 31, 2023
Employee Benefit Expenses:		
Salaries, Wages, Allowances and Benefits	4,678	4,358
Contribution to Provident and Other Funds	322	251
Leave Salary and Pension Contribution *	-	-
Welfare Expenses	2,887	2,582
	7,887	7,191
Repair and Maintenance:		
Buildings	31	67
Roads	33	250
Plant & Machinery	15	34
Office Equipments & Furnitures	1	1
Others	103	89
	183	441
Other Expenses:		
Rent	43	68
Rates & Taxes	-	-
Insurance	17	11
Security Expenses	294	274
Electricity Charges	144	78
Less:- Recovered from Employees & Contractors	-	-
	144	78
Travelling & Conveyance	140	117
Training and Recruitment Expenses	1	34
Less:- Cost of Application Forms Received	-	-
	1	34
Legal Expenses	1	12
Professional and Consultancy Charges	654	1,447
Communication Expenses	35	54
Printing & Stationery	31	10
Payment to Auditors:		
As Auditor	-	-
- Statutory Auditor	-	-
- Limited Review	-	-
- Tax Audit	-	-
For other Services	-	-
Reimbursement of Expenses	-	-
Payment to Auditors	-	-
Advertisement & Publicity	13	1
EDP Expenses	52	146
Hiring of Vehicles	611	889
Entertainment Expenses	1	1
Expenses on Transit Camps	100	84
Loss on Disposal/Write off of Fixed Assets	1	2
Business Promotion Expenses	5	19
Fees and subscription	-	1
Environment & Ecology Expenses	103	161
Tender Expenses	1	4
Less: Receipts from Sale of Tenders	1	1
	-	3
Miscellaneous Expenses	122	205
Rehabilitation Expenses	485	102
Local Area Development Expenses	145	258
Depreciation and Amortization Expense	807	645
Interest and Finance Charges:		
Interest on term loans	17,893	7,223
Finance charges on lease liabilities	105	51
Guarantee fees to Holding Company	-	(24)
Other finance charges	(15)	27
Total expenses (A)	29,858	19,531
Less: Recovery and Receipts:		
Interest Income:		
Banks	-	137
Contractors	-	314
Misc Income	4	116
Total (B)	4	567
Net expenditure attributable to construction Projects (A-B)	29,854	18,964
Less: Allocation of Corporate Expenditure Attributable to Construction Projects	-	-
Total expenditure attributable to construction Projects	29,854	18,964

Standalone



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.3 Intangible Assets
As at March 31, 2024

Sl.No.	Particulars	Gross Block				Depreciation		Net Block	
		As at April 1, 2023	Additions during the year	Deductions/ Adjustments	As at March 31, 2024	As at April 1, 2023	For the year	As at March 31, 2024	As at March 31, 2024
1	Software	185	1	-	186	125	60	185	1
Total:		185	1	-	186	125	60	185	1

As at March 31, 2023									
Sl.No.	Particulars	Gross Block				Depreciation		Net Block	
		As at April 1, 2022	Additions during the year	Deductions/ Adjustments	As at March 31, 2023	As at April 1, 2022	For the year	As at March 31, 2023	As at March 31, 2023
1	Software	6	179	-	185	4	121	125	60
Total:		6	179	-	185	4	121	125	60



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.4 Other Non - current Assets

Amount in INR Lakhs

	As at March 31, 2024	As at March 31, 2023
Capital Advances		
Advances to Suppliers and Contractors		
Secured by hypothecation of Equipment/Material	7,253	12,545
Unsecured considered good		
-Covered by Bank Guarantees	3,935	4,499
-Others	-	3,009
Advances to Govt Departments	4,131	2,796
Less: Provision for Expenditure	-	-
	<u>4,131</u>	<u>2,796</u>
Total - Capital Advances	<u>15,319</u>	<u>22,849</u>
Other Advances		
Accrued Interest on Advance to Contractors and Suppliers	5	15
Less: Provision for Bad/Doubtful Debts/Advance	-	-
	<u>5</u>	<u>15</u>
Others		
Material at Site (Capital)	-	-
Prepaid Expenses	-	-
Deferred Employee Benefits Expense	-	-
Total - Others	<u>-</u>	<u>-</u>
Total Other non-Current Assets	<u>15,324</u>	<u>22,864</u>



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.5 Cash and cash Equivalents	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Balances with Banks		
Current Accounts*	324	812
Term Deposits (having original maturity of upto 3 months)	1	138
	325	950
Total	325	950

*This includes remittances processed amounting to INR 105 Lakhs on 31 March 2024, however reversed by bank subsequently on 2 April 2024

2.6 Bank balance other than cash and cash equivalents	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Earmarked Balance (Unpaid Dividend)	-	-
Margin Money for BG/ Letter of Credit and Pledged deposits	1,689	2,383
Other Term Deposits(having original maturity of more than 3 months and upto 12 months)	831	-
Total	2,520	2,383

2.7 Loans	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Other Advances:		
Unsecured considered good		
-Officers of the Company	-	-
-Other Employees	93	102
	93	102
Total Loans	93	102

* Detail of outstanding balance to KMPs is given in note 3.4 (f).

2.8 Other financial assets	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Security Deposits	-	12
Interest Accrued but not due on deposits with Banks	27	51
Amount Recoverable from Contractors & Suppliers	48	68
Amount Receivable from Subsidiaries/ Joint Ventures *	29	-
Total Other Financial Assets	104	131

2.9 Current Tax Assets	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Advance Tax	66	-
TDS deducted	17	83
		-
Less Provision for Income Tax		46
		-
Total Current Tax Assets	37	-

2.10 Other Current Assets	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Advances other than Capital Advances		
Other Advances		
Advances to Officers of the Company	-	-
Advances to other employees of the Company	15	17
	15	17
Accrued Interest on Advances to Contractors	-	-
Advances to Others		
- Unsecured, considered good	1	1
	1	1
Others		
Prepaid Expenses	3	1
Other	-	-
Total	19	19

Standalone



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD

Notes Forming Part of the Financial Statements as at 31 March 2024

2.11 Equity Share Capital

	As at March 31, 2024		As at March 31, 2023	
	No. of Shares	Amount in INR Lakhs	No. of Shares	Amount in INR Lakhs
AUTHORISED Equity Shares of par value NPR 100/- each (equivalent to INR 62.5/- each)	434,296,000	271,435	434,296,000	271,435
ISSUED, SUBSCRIBED AND FULLY PAID UP Equity Shares of par value ₹ 62.50/- each fully paid up	336,865,600	210,541	336,865,600	210,541
Total		210,541		210,541

The Company has only one class of equity shares having par value of NPR 100/- per share.

2.11.1 Details of shareholders holding more than 5% shares in the Company :

Name of the shareholder	As at March 31, 2024		As at March 31, 2023	
	No. of shares	%	No. of shares	%
SJVN Ltd	336,865,600	100	336,865,600	100

2.11.2 Details of shareholding of promoters :

As at March 31, 2024

Promoter Name	As at March 31, 2024		
	No. of shares	% of total shares	% Change during the year
SJVN Ltd	336,865,600	100	-
As at March 31, 2023			
Promoter Name	As at March 31, 2023		
	No. of shares	% of total	% Change
SJVN Ltd	336,865,600	100	100

2.11.3 The reconciliation of the number of shares outstanding is set out below:

Particulars	As at March 31, 2024		As at March 31, 2023	
	No. of Shares	Amount in INR Lakhs	No. of Shares	Amount in INR Lakhs
Number of shares at the beginning (Share of INR 62.50 Each)	336,865,600	210,541	336,865,600	210,541
Number of shares at the end (Share of INR 62.50 Each)	336,865,600	210,541	336,865,600	210,541



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.12 Other Equity

	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
A Retained Earnings		
Opening Balance	3,742	3,114
Add: Profit for the Year as per Statement of Profit and Loss	138	628
Add: Other comprehensive income during the year	-	-
Less: Utilisation for Buyback of shares and related expenses	-	-
Less: Dividends		
Final Dividend Paid	-	-
Interim Dividend Paid	-	-
Less: Tax on Dividend:		
On Final Dividend	-	-
On Interim Dividend	-	-
Closing Balance	<u>3,880</u>	<u>3,742</u>
Total Other Equity	<u>3,880</u>	<u>3,742</u>



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.13 Borrowings

		Amount in INR Lakhs	
		As at March 31, 2024	As at March 31, 2023
A	Term Loans		
	From Banks:		
	Secured *		
	State Bank of India	85,939	50,841
	Repayable in quarterly instalments from July 2025 to Jan 2039 at floating (MCLR with annual reset+.30%) interest rate of 8.95% p.a. as on 31.03.2024		
	Export Import Bank Ltd.	27,546	19,860
	Repayable in quarterly instalments from July 2025 to Jan 2039 at floating (MCLR with annual reset+.30%) interest rate of 8.95% p.a. as on 31.03.2024		
	Union Bank of India	16,781	10,986
	Repayable in quarterly instalments from July 2025 to Jan 2039 at floating (UBI 1 year MCLR or SBI 1 year MCLR +.30% which ever is higher with annual reset) interest rate of 8.95% p.a. as on 31.03.2024		
	Canara Bank	36,279	23,351
	Repayable in quarterly instalments from July 2025 to Jan 2039 at floating (Canara 1 year MCLR or SBI 1 year MCLR +.30% which ever is higher with annual reset) interest rate of 8.95% p.a. as on 31.03.2024		
	Punjab National Bank	40,045	25,913
	Repayable in quarterly instalments from July 2025 to Jan 2039 at floating (PNB 1 year MCLR or SBI 1 year MCLR with annual reset+.30% which ever is higher) interest rate of 8.95% p.a. as on 31.03.2024		
	Everest Bank, Nepal	18,446	4,960
	Repayable in quarterly instalments from July 2025 to Jan 2039 at floating (Quarterly Base Rate +0.34% P.a. with Quarterly reset) interest rate of 8.16% p.a. as on 31.03.2024		
	Nabil Bank, Nepal	14,197	5,728
	Repayable in quarterly instalments from July 2025 to Jan 2039 at floating (Quarterly Base Rate +0.70% P.a. with Quarterly reset) interest rate of 09.10% p.a. as on 31.03.2024		
	Total	239,233	141,639

* Secured by equitable mortgage/hypothecation of all present and future fixed assets and book debts as first charge of ARUN-3 HPS.

There has been no defaults in repayment of any of the loans or interest thereon at the end of the year.

2.14 Lease Liabilities

	As at March 31, 2024	As at March 31, 2023
Lease liabilities - Non current	957	461

Disclosure as per accounting Standard has been given under note no. 1.9



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.15 Borrowings	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Other loans		
Unsecured		
Short term loan from holding company	2,500	2,500
Total	2,500	2,500

There has been no defaults in repayment of any of the loans or interest thereon at the end of the year.

2.16 Lease Liabilities	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Lease liabilities- current	105	21
Disclosure as per accounting Standard has been given under note no. 1.9		

2.17 Total outstanding dues of creditors	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Total Outstanding Dues of Micro and Small Scale Enterprises	-	-
Total Outstanding Dues of Creditors #	1	1
Total	1	1

All trade payable appearing as due are remaining to be paid and outstanding less than one year

2.18 Other Financial Liabilities	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Interest Accrued but not due on:		
- Short Term Loan	-	-
- Foreign Currency Loans : World Bank	-	-
: Others	-	-
- Rupee Term Loans	866	300
- Loan from Holding Company	460	237
	1,326	537
Interest Accrued and Due	-	-
Others Payables:		
Liability for Employees' Remuneration and Benefits	50	42
Liability for Purchase/Construction of Fixed Assets:		
- Other than Micro and Small Enterprises #	30,480	40,690
Amount Payable to Holding Company	3,616	2,565
Deposits, Retention Money from Contractors and Others	16,845	18,574
Others	6	6
Total	52,323	62,414

All liabilities for purchase/Construction of Fixed Assets appearing as due are remaining to be paid and outstanding since less than one year

2.19 Current Tax Liability	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Provision for Income tax	-	209
Less:		
Tax Deducted at Source	-	83
Advance Tax	-	-
	-	126

2.20 Other Current Liabilities	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Other Advances		
TDS and Other Taxes Payable	273	423
Others	-	-
Total	273	423



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.21 Current -Provisions

Particulars	Amount in INR Lakhs	
	As at March 31, 2024	As at March 31, 2023
Performance Related Pay	187	185
Others	-	-
Total	187	185

Movement in Provisions (Current Year)

Balance as on 31.03.2023	185
Addition	187
Writeback/Transfer	-
Utilization	185
Balance as on 31.03.2024	187

Movement in Provisions (Previous Year)

Balance as on 31.03.2022	183
Addition	182
Writeback/Transfer	-
Utilization	180
Balance as on 31.03.2023	185



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.22 Other Income		Amount in INR Lakhs	
		For the Year Ended March 31, 2024	For the Year Ended March 31, 2023
Interest Income			
Banks	228		186
Employees	-		-
Contractors	364		702
Others	-		-
		592	888
Total		592	888



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.23 Employee Benefits Expense

		Amount in INR Lakhs	
		For the Year Ended March 31, 2024	For the Year Ended March 31, 2023
Salaries, Wages, Allowances and Benefits	32		29
Contribution to Provident and Other Funds	3		2
Welfare Expenses	19		16
		<u>54</u>	<u>47</u>
		<u>54</u>	<u>47</u>



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
 Notes Forming Part of the Financial Statements as at 31 March 2024

T.R. Upadhyaya & Co., Chartered Accountants

Amount in INR Lakhs

For the Year Ended
March 31, 2024

For the Year Ended
March 31, 2023

Salaries, Wages, Allowances and Benefits
 Contribution to Provident and Other Funds
 Welfare Expenses

32
3
19

29
2
16

54

47

SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.24 Finance Costs		Amount in INR Lakhs	
		For the Year Ended March 31, 2024	For the Year Ended March 31, 2023
Interest cost on financial liabilities measured at amortized cost:			
Non- Convertible Bonds	-	-	-
Working Capital Loan	-	-	-
Foreign Currency Loans	-	-	-
Rupee Term Loans	347	-	-
Commercial Papers	-	-	-
		347	-
Exchange differences regarded as adjustment to borrowing costs.		-	-
Total		347	-

2.25 Depreciation and Amortization Expense		Amount in INR Lakhs	
		For the Year Ended March 31, 2024	For the Year Ended March 31, 2023
On property, plant and equipment (Note 2.1)*		747	524
On intangible assets (Note 2.3)		60	121
Less: Depreciation attributable to Construction (Note 2.2.1)		807	645
Less: Depreciation written back		-	-
Depreciation Charged to Statement of Profit & Loss		-	-
* Includes depreciation/ amortization of ROU assets		34	-



SJVN ARUN-3 POWER DEVELOPMENT COMPANY PVT LTD
Notes Forming Part of the Financial Statements as at 31 March 2024

2.26 Other Expenses	Amount in INR Lakhs	
	For the Year Ended March 31, 2024	For the Year Ended March 31, 2023
Repair and Maintenance:		
Buildings	-	-
Roads	-	-
Plant & Machinery	-	-
Office Equipments & Furnitures	-	-
Civil Works	-	-
Electro Mechanical Works	-	-
Vehicles	-	-
Others	-	-
Rent	-	-
Rates & Taxes	-	-
Insurance	-	-
Security Expenses	-	-
Electricity Charges	-	-
Less:- Recovered from Employees & Contractors	-	-
Research and Development	-	-
Travelling & Conveyance	-	-
Training and Recruitment Expenses	-	-
Less:- Cost of Application Forms Received	-	-
Legal Expenses	-	-
Professional and Consultancy Charges	-	-
Communication Expenses	-	-
Printing & Stationery	-	-
Less: Receipts from Sale of Tenders	-	-
As Auditor		
- Statutory Auditor	4	3
- Limited Review	-	-
-Tax Audit	-	-
For other Services	-	-
Reimbursement of Expenses	3	1
Payment to Auditors (refer note no. 1.23)	7	4
Advertisement & Publicity	-	-
EDP Expenses	-	-
Hiring of Vehicles	-	-
Entertainment Expenses	-	-
Expenses on Transit Camps	-	-
Books & Periodicals	-	-
Donation to PM CARES Fund	-	-
Corporate Social Responsibility Expenses	-	-
Stores Written Off	-	-
Loss on Disposal/Write off of Fixed Assets	-	-
Debts/ Advances written Off	-	-
Directors Sitting Fees	-	-
Foundation Stone Laying Ceremony Expenses	-	-
Business Promotion Expenses	-	-
Fees and subscription	-	-
Environment & Ecology Expenses	-	-
Tender Expenses	-	-
Less: Receipts from Sale of Tenders	-	-
Interest on Arbitration / Court cases	-	-
Interest to Beneficiaries	-	-
Miscellaneous Expenses	-	-
Exchange Rate Variation	-	-
Expenses on Regulated Power	-	-
Less: Regulated Power Adjustment - Sales	-	-
Rehabilitation Expenses	-	-
Local Area Development Expenses	-	-
Total	7	4
Stores Consumption Included in Repairs and Maintenance		

Standalone



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts for the year ended Ashad 32, 2079 (July 16, 2022)

3 Other Explanatory Notes:

3.1 Contingent Liability

Lease Agreement with "Department of Forest" and "Department of National Park and Wildlife Conservation"

The Company has entered into agreements with Forest Department, National Park and Wildlife Conservation Department, Ministry of Forest and Soil Conservation, Government of Nepal, on 2074.05.07 (23 August 2017) and 2074.10.23 (06 February 2018). As per the agreements, a total of 123.218 hectare of forest land has been leased for project construction by GoN. Out of this 123.218 hectare, 79.04 hectare lies in 9 community forests of District Forest area while remaining 44.178 hectare lies in 8 community forests of Makalu Barun National Park area. The company had cleared 8272 trees in 123.218 hectare of forest land for which compensatory afforestation has to be done by the company. The cost of such plantation has been provisioned in the EMP plan is INR 1.85 Cr. The actual cannot be estimated reliably as on date.

3.2 Contingent Assets

There are no contingent assets as on date.

3.3 Public Interest Litigation

There is no pending litigation by/against the Company as on date.

3.4 Related Party Transactions and balances

A. Details of related party and relationship

Related Party	Nature of Relationship
SJVN Ltd.	Parent company
Fellow Subsidiary Company-Sister Concern	SJVN Thermal Pvt Ltd
Fellow Subsidiary Company-Sister Concern	SJVN Lower Arun Power Development Company Pvt Ltd
Directors and Key Management Personnel:	
Sh. Nand Lal Sharma	Chairman (Ceases to be Chairmen w.e.f 31.01.24)
Smt. Geeta Kapur	Director (Ceases to be Director w.e.f 30.04.24)
Sh. Akhileshwar Singh	Director
Sh. Sushil Kumar Sharma	Director
Sh. Arun Dhiman	CEO
Sh. Jitendra Yadav	CFO (Ceases to be CFO w.e.f 30.11.23)
Sh Nabin Kumar Jha	CFO (Assumed charged from 01.12.2023)
Sh. Sujit Jha	Company Secretary



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

B. Shareholding Pattern:

Name of Holding Entity	Principal Activity/Business	Share holding pattern	
		As at 31.03.2024	As at 31.03.2023
SJVN Limited	Power Generation	100%	100%

C. Transactions and Balances with holding Company

Amount in INR Lakhs			
Sr No	Particulars	F.Y 2023-24	F.Y 2022-23
1	Loan outstanding-SJVN Ltd	2500.00	2500.00
2	Consultancy Service received from SJVN Ltd	668.06	968.38
3	Interest accrued and payable on loan (During the year)	223.00	202.00
4	Outstanding Interest accrued and payable on loan	460.00	237.00
4	Consultancy Payable	158.95	304.22
5	Other Outstanding Balance payable	3616.00	2565.00

D. Remunerations to Key Management Personnel

Amount in INR Lakhs		
Particulars	FY 2023-24	FY 2022-23
Salary	239	210
Contribution to Provident Fund & Pension	17	14
Other Benefits	186	157
Total *	442	381

*Out of above 100% remuneration of Company Secretary and 10% remuneration in case of CEO and CFO have been charged in Profit & Loss Account statement.

E. Transaction with Government and the related parties under the control of the same government:

Amount in INR Lakhs				
Sr No	Name of Related Party	Nature of Transaction	FY 2023-24	FY 2022-23
1	BHEL	Supply of Goods and Services	9414	4646
2	Power Grid Corporation of India Ltd	Consultancy	1161	1334



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

F. Outstanding Balance of Key Managerial Persons:

<i>Amount in INR Lakhs</i>		
Loan to KMPs	Current Year	Previous Year
At the beginning of the Year	56.80	23.40
Loan Advanced	7.32	60.00
Loan repayment received/transferred	36.34	31.39
Interest Charged	1.95	4.79
At the end of the year	29.73	56.80

The above outstanding balance are kept in the books of SJVN Ltd (holding company) except INR 5.74 Lakh (PYY INR 2.32) as detailed in schedule 2.7.

3.5 Details of bank wise outstanding and terms of Loan (Absolute Term)

<i>Amount in INR Lakhs</i>			
Sr. No.	Name of Bank	Amount outstanding	Rate of Interest per Annum
1	State bank of India, India	86,700	SBI 1 year MCLR + 0.30%
2	Punjab National Bank, India	40,400	PNB 1 year MCLR or SBI 1 year MCLR + 0.30%, whichever is higher
3	Canara Bank, India	27,790	Canara 1 year MCLR or SBI 1 year MCLR + 0.30%, whichever is higher
4	Exim Bank, India	36,600	Exim 1 year GSEC Plus Spread/Premium (minimum 260 bps) equivalent to SBI 1 year MCLR+ .30 bps whichever is higher
5	Union Bank of India, India	16,930	UBI 1 year MCLR or SBI 1 year MCLR + 0.30%, whichever is higher
6	Everest Bank Limited, India	18,609	Quarterly Base Rate+0.34%
7	Nabil Bank Limited, India	14,323	Quarterly Base Rate+0.70%

Detail of bank wise outstanding and maturities

<i>Amount in INR Lakhs</i>				
Sr. No.	Name of Bank	Maturities of Loan within 1 year	Maturities of Loan within 2-3 year	Maturities of Loan within beyond 3 years
1	State Bank of India	-	16,456	70,244
2	Punjab National Bank	-	7,802	32,598
3	Canara Bank	-	6,824	29,776
4	Exim Bank	-	5,669	22,121
5	Union Bank of India	-	3,165	13,765
6	Everest Bank Limited	-	4,916	13,693
7	Nabil Bank Limited	-	2,721	11,602



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

Status of outstanding Loan to be drawn as on 31.03.2024:

Sr. No.	Name of Bank	Amount in INR Lakhs	
		RTL-1	RTL-2
1	State bank of India, India	83,300	52,000
2	Punjab National Bank, India	40,200	15,000
3	Canara Bank, India	33,900	25,000
4	Exim Bank, India	30,778	18,000
5	Union Bank of India, India	15,770	15,000
6	Everest Bank Limited, India	32,179	14,692
7	Nabil Bank Limited, India	13,783	2,394
	Total	249,910	142,086

3.6 Capital Commitment and Financial Exposure

Estimated amount of contracts remaining to be executed on capital account and not provided for is INR 1600.07 Cr. (PY 1769.77 Cr).

Exposure of company for Bank Guarantees provided to GoN for performance as per PDA and Bank Guarantees submitted to Ministry of Finance, Department of Custom for Import of machineries by the contractor and Guarantee provided to District administration for securing distribution of compensation to land looser of chainkuty and Diding road etc. is INR 93.51 Cr (PY 59.39 Cr).

Exposure of company against letter of credit opened in favour of contractor and on behalf of contractor (for purchase of machineries for the project) has been calculated as INR 14.90 Crore (PY INR 32.36 Cr).

3.7 Other disclosures for Leases

- The Company has adopted NFRS 16-Leases effective 1st Shrawan, 2078 (17.07.2021), using the modified retrospective method. On the date of initial application, the lease liability has been measured at the present value of the remaining lease payments and right of use assets has been recognised at an amount equal to the lease liabilities.
- Practical expedients applied as per NFRS 16
 - Applied a single discount rate to a portfolio of leases of similar assets in similar economic environment with a similar ending date.
 - Applied the exemption not to recognize ROU assets and liabilities for leases with less than 12 months of lease term on the date of initial application.
 - Used hindsight when determining the lease term if the contract contains options to extend or terminate the lease.
- The incremental borrowing rate has been applied to discount the lease liabilities.
- The details of the contractual maturities of lease liabilities as at March 31, 2024 on an undiscounted basis are as follows:



SJVN ARUN-3 Power Development Company Pvt. Ltd.
Notes forming part of the Accounts as on March 31, 2024

Amount in INR Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Less Than one year	105.00	12.50
One to Five Years	123.00	134.50
More than 5 years	834.00	1090.00

3.8 Event after reporting period

No major events have occurred after balance sheet which required to be reported.

3.9 Comparative Information and rounding off

Previous Year figures have been regrouped/rearranged wherever necessary.

Though the books of accounts have been maintained in paisa, figures in the financial statement have been rounded off to the nearest rupees.

